External and Internal Market for Managers

Gabriel Toledo
New York University

October 30, 2024

Updated regularly; please click here for the latest version

This paper studies the labor market for managers by examining both between and within firm reallocation channels. We document that around 40% of the inflows into managerial positions come from internal promotions, a flow comparable in size to the job-to-job transitions into the same roles. To capture both external and internal markets, we develop a labor search model with internal reallocation and learning while on the job. External flows depend on how firms are currently internally organized. Internal flows depend on the extent of skill accumulation of workers under managers and by external hiring and separation events. We calibrate the model using administrative establishment-employee data from Germany, which reveals a significant wage premium for managers and highlights the role of high-quality managers in worker skill accumulation. The model matches observed external and internal flows into managerial positions and provides insights into how these channels operate across the talent distribution. Finally, we explore the policy implications of targeted Non-Compete Agreements to find that restrictions on managerial mobility lead firms to fast-track promotions, hindering skill accumulation and output, while non-competes on workers reduce internal promotions, fostering skill accumulation and boosting aggregate productivity.

I thank Ricardo Lagos, Guido Menzio and Katarína Borovičková for their guidance and support. I also thank Diva Astinova, Corina Boar, Jaroslav Borovička, Giacomo Catellan, Felipe Camelo, Gian Luca Clementi, Nik Engbom, Hugo Hopenhayn, Marios Karabarbounis, Fernando Lopes, Yucheng Lu, Angelo Mendes, Virgiliu Midrigan, Kosha Modi, Nicolas Morales, Nicolas Pimentel, Alessandra Peter, Todd Schoellman, Robert Shimer, Kazmier Smith, Marcos Sonnervig, Venky Venkateswaran and Cesar Zambrano and seminar participants at the NYU and the Federal Reserve Banks of St. Louis and Richmond. This study uses the Linked Employer Employee Data longitudinal model 1975-2019 (LIAB LM7519) from the IAB. Data access was provided via on-site use at the Research Data Centre (FDZ) of the German Federal Employment Agency (BA) at the Institute for Employment Research (IAB) and subsequently remote data access under project number fdz2585. Author email: gabriel.toledo@nyu.edu. Website: gstoledo.github.io